MERCHANTMAN ENTERPRISES (PVT) LTD
versus
PRINT CITY (PVT) LTD

HIGH COURT OF ZIMBABWE
COMMERCIAL DIVISION
CHILIMBE J
HARARE 12 November 2025, & 13 July 2026

Stated case

S. Muzondiwa for plaintiff
M. Simango for defendant

CHILIMBE J

BACKGROUND

[1] This is a landlord and tenant dispute in which the parties elected to proceed as a stated case in terms of r 52 of the High Court Rules SI 202/21 ("the High Court Rules") as read with r 4 (2) of the High Court (Commercial Division) Rules SI 123/20 ("the Commercial Court Rules").

THE AGREED FACTS AND ISSUES IN CONTENTION

[2] The dispute between the parties is evident from the statement of agreed facts filed by the parties and in the following terms; -

1. STATEMENT OF AGREED FACTS
2. Plaintiff and Defendant have been landlord and tenant and the lease agreement expired in 2019. The lease agreement was executed on the 20th of February 2019 but commenced on the 1st of January 2019. After the expiry of the lease agreement, the Defendant became a statutory tenant. In terms of the relationship between the parties, the Plaintiff has been leasing out to the Defendant its premises situate at shop no 2 Merchant House, 46 Robson Manyika Avenue, Harare. In terms of the expired lease, Defendant was obliged to pay a monthly rental of **One Thousand Five Hundred United States Dollars (US$1 500.00)** exclusive of rates which were as per the local authority statements, payable at the prevailing

bank rate on the date of payment. The lease became operative on the date of signing was re-negotiable when the local currency was re-introduced. The rentals for the initial two months were deferred to property developments and first rental amount to be paid to the lessor in terms of the lease agreement became due on the 1st of March 2019 in terms of the clause 3 of the lease agreement which terms are hereby incorporated as part of this statement of agreed facts.

3. The Defendant vacated Plaintiff's premises on the 23rd of August 2022. Before vacating the premises, Defendant had failed to pay some of its monthly rentals on time/at all for several months. The total sum which defendant ought to have paid towards rentals for the period of his occupation was **USD$48 960.00 (Forty-Eight Thousand Nine Hundred and Sixty United States Dollars)** which currency is subject to the issues for determination outlined in paragraph (4) of this statement of agreed facts. Defendant made a payment of $13 506.00 (Thirteen Thousand Five Hundred and Six United States Dollars) towards rentals and rates to the Plaintiff for the period of its occupation.

4. Plaintiff has issued summons claiming payment in the sum of **Thirty-five Thousand Four Hundred and Fifty-Four Dollars ($35 454.00)** being arrear rentals. The Defendant is of the view that the payment of **USD$13 506.00 (Thirteen Thousand Five Hundred and Six United States Dollars)** covers the full rental and rates obligation from March 2019 up to August 2023. A detailed statement of account indicating the amounts due and the amounts attached and marked **Annexure A.**

ISSUES IN DISPUTE

i. Whether or not the Defendant's rental obligation was converted to RTGS at the rate of one as to one by operation of Statutory Instrument 33 of 2019,

ii. Whether or not Defendant's payment of **USD$13,506.00 (Thirteen Thousand Five Hundred and Six United States Dollars)** covers the full rental and rates obligation from March 2019 up to August 2023.

[3] I draw attention to the underlined portions of the statement of agreed facts to which I will shortly return after examining the arguments submitted herein.

ARGUMENTS BEFORE THE COURT

Plaintiff`s case.

[4] The plaintiff`s core argument was that the defendant's rental obligations were payable exclusively in United States Dollars ("USD"). This position arose because firstly, the rental obligations concerned arose on 19 March 2019. As such, the defendant's reliance on the currency conversion formula for debts and obligations prescribed in "SI 33/19"[1] was inapplicable to the parties` transaction.

[5] Similarly, the Supreme Court, had according to plaintiff's counsel, articulated SI 33/19`s currency conversion formula in its decision of *Zambezi Gas (Pvt) Ltd v N. R. Barber (Pvt) Limited & Anor 2020 (1) ZLR 138 (S)* in the following passage at pages 144 D-E; -

> "A reading of s 4(1)(d) of S.I. 33/19 does not reveal any ambiguity in the language used by the Legislature in the expression of its intention in enacting S.I. 33/19. The purpose and object of the statute can easily be ascertained from the ordinary and grammatical meaning of the language used. 9 Judgment No. SC 3/20 Civil Appeal No. SC 437/1 9 The liabilities referred to in s 4(1) (d) of S.I. 33/19 can be in the form of judgment debts and such liabilities amount to obligations which should be settled by the judgment debtor. In interpreting s 4(1) (d), regard should be had to assets and liabilities which existed immediately before the effective date of the promulgation of S.I. 33/19. <u>The value of the assets and liabilities should have been expressed in United States dollars immediately before 22 February 2019 for the provisions of s 4(1)(d) of S.I. 33/19 to apply to them</u>." [underlined for emphasis in plaintiff`s written submissions]

[6] Secondly, the plaintiff`s counsel contended that not only had the parties expressly agreed on the USD, as the currency of the contract, but the defendant had itself settled rentals due in that currency. Further, argued plaintiff`s counsel, the Supreme Court decision; - *Breastplate Service (Pvt) Ltd v Cambria Africa PLC* SC 2020 (2) ZLR 149 (S), had per PATEL JA (as he then was) confirmed that it was permissible for parties to resolve the question of the applicable currency via contractual terms.

[1] The Presidential Powers (Temporary Measures) (Amendment of Reserve Bank of Zimbabwe Act and Issue of Real Time Gross Settlement Electronic Dollars (RTGS Dollars)) Regulations, SI 33/2019

Defendant`s case.

[7] In the written submissions filed on its behalf, the defendant oscillated between legal and factual arguments which have a bearing on the outcome of this matter as discussed further hereunder. In essence, the defendant`s counsel contended that firstly, the parties` lease agreement predated SI 33/19. The argument, as I understood it was that rentals due were a receivable or an asset in the books of the plaintiff. The same value constituted a corresponding obligation or liability in the lessor/debtor/defendant`s books.

[8] In that regard, as at the "effective date" of SI 33/19, the lease agreement had generated obligations or liabilities on one hand, and a corresponding asset on the other. Whether viewed as an asset or a liability, the USD denominated rentals due to the plaintiff by the defendant were converted to local currency by operation of law at the rate of 1:to1 per SI 33/19.Consequently, the amount of US$13,506.00 paid by the defendant extinguished its entire obligation to the plaintiff.

[9] The second part of the plaintiff`s argument was that in any event, SI 33/19 was confirmed by ss 22 and 23 of the Finance Act (No. 2) of 2019 promulgated on 21 August 2019. This piece of legislation reiterated that obligations such as those under consideration were converted into local (RTGS) currency at the rate of one USD to one RTGS dollar.

ANALYSIS OF THE ARGUMENTS

The law on stated cases

[10] The established authorities on the subject issue the useful guidance on what stated cases inasmuch as they also distinguish what stated cases are NOT. Such distinction is critical. There is, after all, a purpose behind stated cases; -a speedy disposal of matters without resorting to trial. This principle must be borne in mind at all times by the court and the litigants.

[11] Such quest can only be attained if indeed the stated case meets the simple requirements set out in rule 52 of the High Court Rules; - namely, to distil the agreed facts and define the legal issues for the court's resolution. In the result that it becomes a misdirection for a court

to proceed with a matter as a stated case where such matter fails the test of what a stated case is.

[12] A useful starting point is the Supreme Court decision in *Leathout Investments (Pvt) Ltd v Murivirimi & Anor* SC 60-21, where GOWORA JA (as she then was) cited at page 8, the South African Supreme Court of Appeal`s remarks in *Bane v D'Ambrisio* 2010(2) SA 539 (SCA) which held as follows at 543E-G; -

> "Rules 33(1) and 33(2) make it clear that the resolution of **a stated case proceeds upon the basis of a statement of agreed facts. It is, after all, seen as a means of disposing of a case** without the necessity of leading evidence. The case drafted by the parties, with both of them reserving their positions with regard to the factual assumptions, was plainly contrary to the basic object of the rule and the procedure of asking the court to rule on issues thus defined **was tantamount to asking the court to give advice on possibly abstract questions."**

[13] Further, the Supreme Court at pages 8-9 in *Leathout v Muvirimi* quoted in extenso, cited its earlier guidance in *Kunonga v The Church of Central Africa* SC 25/17. I replicate GOWORA JA`s remarks and reference to *Kunonga*, emphasising the areas marked in bold and underline; -

> "**It is trite that a statement in a special case must set forth the facts agreed upon, the question of law surrounding the dispute, and the issue for determination by the court**. In this jurisdiction, the *locus classicus* on the requisites of a stated case is *Kunonga v The Church of Central Africa* SC 25/17. GARWE JA set out the requisites to be the following:
> "*WHAT IS A STATED CASE*
> [14] The rules of court of most countries make provision for the reference of a matter as a stated case. **But what is a stated case? It is a case that is brought upon the agreement of the parties who submit a statement of undisputed facts to the court but who take adversarial positions as to the legal ramifications of the facts, thereby requiring a judge to decide the question of law presented** (*Legal dictionary. The free dictionary.com*). Put another way, it is a formal written statement of the facts in a case, which is submitted to the court by the parties, jointly, so that a decision may be rendered without trial**. The facts being thus ascertained, it is left for the court to decide the question of law presented.** A stated case is also called a special case, an amicable action, a case agreed, or a friendly suit (*US Legal, Inc.*)"
>
> [15] In the case of *Elizabeth Mambus v Motor Vehicle Accident Fund* Case No. SA 4/2013, a majority decision of the Supreme Court of Namibia, handed down on 11 February 2015, the court noted:

"… the intention is that the stated case **will adjudicate the whole of the dispute as stated in the case that exists between the parties** and that this is ideally done by setting out the facts agreed to, the questions of law in dispute, and the contentions of the parties. The parties may also require a court to decide an issue of law on the basis of alleged facts *as if agreed*."

[16] The court further cited with approval remarks made by the Irish Supreme Court in *Simon McGinley v The Deciding Officer – Criminal Assets Bureau* [2001] IESC 49 that:
"The case should set out clearly the judge's findings of fact, and should also set out any inferences or conclusions of fact which he drew from those findings. What is required in the case stated is a finding by the Judge of the facts and not a recital of the evidence. Except for the purpose of elucidating the findings of fact, it will rarely be necessary to set out any evidence in the case stated save in the one type of case where the question of law intended to be submitted is whether there was evidence before the Judge which would justify him deciding as he did. … **This court should not be required to go outside the case to some other document in order to discover them.** The same principle applies to the contention of the parties, the inferences to be drawn from the primary facts, and the Tribunal's determination. **All these must be found within the case, not in documents annexed …"**

[17] Once the facts are agreed, the court should proceed to determine the particular question of law that arises and not delve into the correctness or otherwise of the facts. It is bound to take those facts as correctly representing the agreed position and to thereafter determine any issues of law that may arise therefrom. It is not open to the parties to the stated case to seek to re-open the agreed factual position or to contradict such position. Nor can either party seek to ignore existing legal principles or findings of fact made in connection with the same matter by another court. Of course, either party has a remedy at common law, to withdraw any concession made in a stated case owing to *justus error*, fraud, mistake, or any other valid ground.

[18] It has become necessary to restate what a stated case is owing to the fact that in some instances, the appellant, in this case, has made submissions contrary to the stated case brought before the court. The appellant has also ignored in part the decision of this Court on which the stated case is predicated. It bears stating that if this happens, a party will be kept strictly to the terms of the agreed facts, as it is on the basis of those facts that the court would have been invited to make a determination on some specific question of law."

The court *a quo* relied on *Kunonga*'s case in deciding whether or not to grant the application for directions. The learned judge reasoned as follows:
"What in essence this Court is being asked to determine is **if it can resolve the dispute between the parties based on the stated case**. Para1.1 of the stated case states that the respondent is the registered owner of the property. In para 1.4 of the special case, the parties recognize that the applicants' primary defense to the *rei vindicatio* is that plaintiff's ownership of the property is tainted with fraud and illegality. The parties recognize that the applicants have a defense to the claim having

filed a challenge to the respondent's title. An attempt to settle the matter failed after the withdrawal of a deed of settlement. The claim has since been reinstituted. It is not surprising that the stated case has attracted so much controversy. The stated case states two mutually exclusive situations, one of which cannot be correct. The statement that the plaintiff is the registered owner of the property cannot be accepted on the face of it especially in the face of indications to the contrary in the stated case. The presumption of ownership can only be rebutted by evidence.

Mention is made of a fraudulent power of attorney used to support the transfer. The stated case records that the respondent disputes the allegations of fraud. The stated case discloses a material dispute of fact over ownership of the property between the parties that cannot be resolved on the papers. The fact that the parties previously agreed that the matter should be dealt with as a special case in a case where there are glaring material disputes of fact that require to be ventilated at a trial has no effect of binding the court to such an arrangement. Resort to the special case procedure for the relief of a *rei vindicatio* in the face of the disputes existent on the papers is inappropriate. Where a special case discloses substantial disputes of fact, the court cannot simply rubberstamp it and accede to insistence on dealing with the case as a special case because the parties agreed on a statement of agreed facts. Whenever a material dispute of fact appears on the face of a stated case, which cannot be resolved on the papers filed, that dispute will require full ventilation. The applicants raise a defense of claim of right. An allegation of fraud cannot be proved in the absence of the documents allegedly used to commit the fraud. The best course to take is to allow the applicants to call evidence to substantiate their claim of fraud. I am not persuaded by the respondent's argument that the defendants are bound by the stated case.

The stated case does not clearly or correctly articulate the issues to be dealt with. An issue arises regarding whether the respondent acquired valid title from the applicants. What the parties ought to have done is to request the court to determine who the owner of the property is, hence asking the court to determine the issue of ownership. Instead, the court was asked to determine, *"whether or not ownership of the immovable property is in dispute"*. What the court is being asked to do is just to make a declaration regarding the existence of a dispute over the property. If the court determines that ownership is in dispute **then what? That determination does not dispose of the dispute between the parties. The court ought to have been asked to resolve the real dispute between the parties.** The issue could have been worded along the following lines, "*whether the respondent acquired valid title from the applicants*". That is the issue disclosed by the agreed facts. This way, the trial court is equipped to make a determination over the ownership of the property and dispose of the dispute."

[14] Based on the prescriptions in r 52 of the High Court Rules as read against the guidance in the above authorities. The statement of agreed facts before me offends the requirements of concision and precision prescribed in r 52 (3). I reach the above conclusion based on the following. The parties filed four bulky paragraphs carrying a conglomeration of issues. Rule

52 (3) requires, a stated case to be reduced to numbered paragraphs the implication being that issues are packaged logically relative to each other.

[15] The imprecision borne out in the statement of agreed facts goes beyond mere inelegance. The landlord and tenant relationship requires effort to be extracted. It was not sequentially set out. Similarly, the dispute essentially devolved into a reconciliation exercise. The statement of agreed facts shied away from the accounting or arithmetic factors necessary to aid the court in reaching a determination on the issues. The rentals due as at March 2019 were not stipulated.

[16] Perhaps the parties intended to rely on Annexure A referred to in paragraph 4 of the statement of agreed facts. Three issues emerge from that point. Firstly, the statement ought to have been preceded by a statement of fact, secondly the statement itself was omitted from the papers and thirdly, care must be taken, according to *Kunonga* v *The Church of Central Africa*, in referring to extra documentation as provided for in rr 52(3) and 52 (6) of the High Court Rules. The latter provides that; -

> 52 (6) Upon the argument of such case, the court and the parties shall be at liberty to refer to the whole contents of such documents, and the court shall be at liberty to draw from the facts and documents stated in any such special case any inference, whether of fact or law, which might have been drawn therefrom if proved at a trial.

[17] The latitude extended to the court under r 52 (6) is subject to obvious circumscriptions. In particular, the court must be limited to the issues raised by the parties based on the statement of agreed facts filed. This conclusion is confluent with the trite position set out in *Nzara & Ors v Kashumba NO & Ors* SC 18-18 and kindred authorities.

[18] This also brings me to the incorporation of the terms of the lease agreement into the statement of agreed facts by the parties. The terms concerned were recorded in a 32-clause memorandum. To begin with, it was neither apparent from the facts, issues nor arguments why these terms were incorporated into the statement of agreed facts. More importantly, it must be remembered, per the authority of *Magodora & Ors v Care International Zimbabwe* 2014 (1) ZLR 397 (S) that the function of the court is to interpret the parties` contract.

[19] In that respect, it would have been more helpful for the parties to refer to specific clauses in the lease agreement, as well as the issues in respect of which the court`s interpretation was sought. The parties did refer to clause 3 specifically but firstly, did not identify the issue arising therefrom nor secondly, explain why the rest of the clauses were included in the statement of the agreed facts. Additional to the above anomalies, paragraph 4 of the statement of agreed facts contained the following line which, not being an agreed fact, was clearly misplaced; -

> "The Defendant is of the view that the payment of USD$13 506.00 (Thirteen Thousand Five Hundred and Six United States Dollars) covers the full rental and rates obligation from March 2019 up to August 2023."

The issues before the court.

[20] The defects in the statement of agreed facts were compounded by the issues before the court, which were flagged for resolution and evidenced by the arguments advanced by both parties. I start with the issues and in doing so, recognise that before the court is a landlord and tenant dispute over rentals which the court must resolve. The court is not about an academic or futile exercise. Nor should it pursue a legal argument and leave it unresolved. (See the above excerpts from *Kunonga v The Church of Central Africa)*.

Issue 1: -Did the rental obligations convert to RTGS at the rate of one-is-to-one per SI 33/19?

[21] This question generates a number of difficulties. The primary dispute requires the court to conduct a reconciliation exercise based on currency conversions prescribed by the applicable legislative or regulatory instruments. It is common cause that the matter retraces its roots to the jurisdiction`s multi-currency regime. The monetary and currency regime in Zimbabwe from 2009 to date has been characterised by ebullience.

[22] A suite of Acts of Parliament (commencing with the Finance (No. 2) Act No. 5 of 2009), statutory instruments, and judicial decisions has shaped the currency and monetary regime from 2009 to date. See the discussion on the historical development of that regime and the survey of authorities in *Stone & Anor v CABS & 2 Ors* HH 118-23 and *Baishun Mining Company (Pvt) Ltd v Chinda Resources (Pvt) Ltd* HH 499-23 among many other decisions.

In that regard, Zimbabwe has witnessed several instances of the introduction, recalibration, revaluation, exchange-rate prescriptions and demonetisation of currency since 2009. The nation has had local currency versions ranging from the old Zimbabwe Dollar, RTGS, ZWL, and current ZiG. The SI 33/19 referred to by the parties being but one out of a long list.

[23] However, the parties herein confined their inquiry to SI 33/19. The dispute before the court cannot be resolved by an analysis of the impact of SI 33/19. That statutory instrument was limited in its effect. The seminal decision of *Zambezi Gas v N.R. Barber* (supra) addressed this point. MAFUSIRE J (as he then was) also illustrated in summary, the purpose of SI 33/19 in *Manojkumar Jivan v Salzman v Salzman Et Sie SA & Anor* HH 242-22 as follows at [24]; -

> *"[24]* In summary, s 4[1][d] of SI 33/19 provided that for accounting and other purposes, all assets and liabilities that were valued and expressed in United States dollars immediately before the effective date, would be deemed to be values in RTGS dollars at a rate of one-to-one to the United States dollar, on and after the effective date. However, certain assets and liabilities were made exempt from this valuation rate. Such assets and liabilities would be those listed in s 44C (2) of the Reserve Bank of Zimbabwe Act [*Chapter 22:15*], a provision that was contemporaneously enacted together with, and simultaneously inserted by, S.I. 33/19."

[24] My conclusion is that the first issue raised by the parties for determination under the stated case is not dispositive of the issues.

Issue 2: - Did the defendant's payment of USD$13,506.00 (Thirteen Thousand Five Hundred and Six United States Dollars) extinguish the obligation of $35 454.00 for the period

[25] Issue 1 dealt with the formula to apply in resolving issue 2 above. In the absence of a proper formula, issue 2 automatically falls away. Again, the error retraces to the flawed statement of agreed facts which failed to advert to the reconciliation exercise. I turn, on the same point to the arguments placed before the court. A reading of the written submissions of both parties reflects the same fundamental defects in the statement of agreed facts.

[26] The arguments relapsed into a commentary on the factual issues which the parties had assured the court were settled. Whilst plaintiff was circumspect on that aspect, defendant delved into the facts with gusto. Another betrayal of the lack of oneness of agreed facts is that the subsequent arguments did not quite address the parties` respective positions. On the basis of the order issued hereunder, it becomes unnecessary to comment further on the arguments raised on the merits.

DISPOSITION

[27] It is my finding from the foregoing, that there is no proper stated case before the court. I thus turn to the remedy set out in r 52 (9) of the High Court Rules which provides that; -

> 52 (9) When giving its decision upon any question in terms of this Rule, the court may give judgment as may upon such decision be appropriate and may give any direction with regard to the hearing of any other issues in the proceedings which may be necessary for the final disposal thereof.

[28] I draw the guidance from decisions such as *Leathout v Muvirimi, Kunonga* v *The Church of Central Africa* and *Bane v D'Ambrisio* that a defective stated case may be struck off and the parties referred to remedy the errors via pre trial processes. I thus make the following order; -

1. The stated case filed by the parties in terms of rule 52 of the High Court Rules as read with rule 4(2) of the Commercial Court Rules be and is hereby struck off the roll.
2. That the plaintiff is directed to file, within 14 days of the date of this Order, an updated indexed bundle together with a request for set down of the main dispute between the parties for a case management conference to address the issues raised in this judgment for the progression of the matter.
3. That there be no order as to costs.

Samukange Hungwe Attorneys- plaintiff`s legal practitioners
R. Murambasvina Law Chambers-defendant`s legal practitioners

[CHILIMBE J___13/7/26]